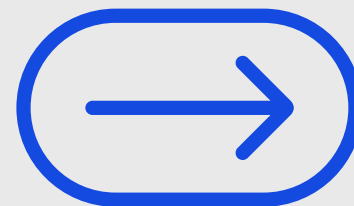


RETENTION PLAYBOOK



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Objective

Gradually eliminate discounts for **promo-dependent** segments without hurting total revenue — while protecting and expanding the **organic loyalist base**



Topics

- Promo Sunset Plan
- Ideal Customer Profile



Segment by Segment Action Plan

Segment 1 — High-Risk Promo Addicts

HARD SUNSET

341 customers · dependency_score = **3** , **8.68%** revenue (**\$20,229**)

Trigger: A promo code was applied on every qualifying purchase — 100% discount dependency by construction

Metric: Revenue per customer monthly. Pause sunset if avg ticket < \$40 | **Trade-off:** Will lose an estimated 15 200 customers. Revenue loss ~\$8-10K, but margin saved on discounts offsets this.

Segment 2 — Moderate Promo Hunters

GRADUAL SUNSET

1,336 customers · dependency_score = **1-2** , **33.97%** revenue (**\$79,182**)

Trigger: Used a promo on their recorded purchase, but each shows an offsetting signal — a subscription, infrequent buying, or both — so the promo habit isn't fully entrenched.

Metric: Repeat purchase rate without promo. **Target:** maintain >45% repeat rate | **Trade-off:** Risk of 15-20% volume drop short term. Long term converts some into organic loyalists.

Segment 3 — Pure Organic Loyalists

PROTECT & GROW

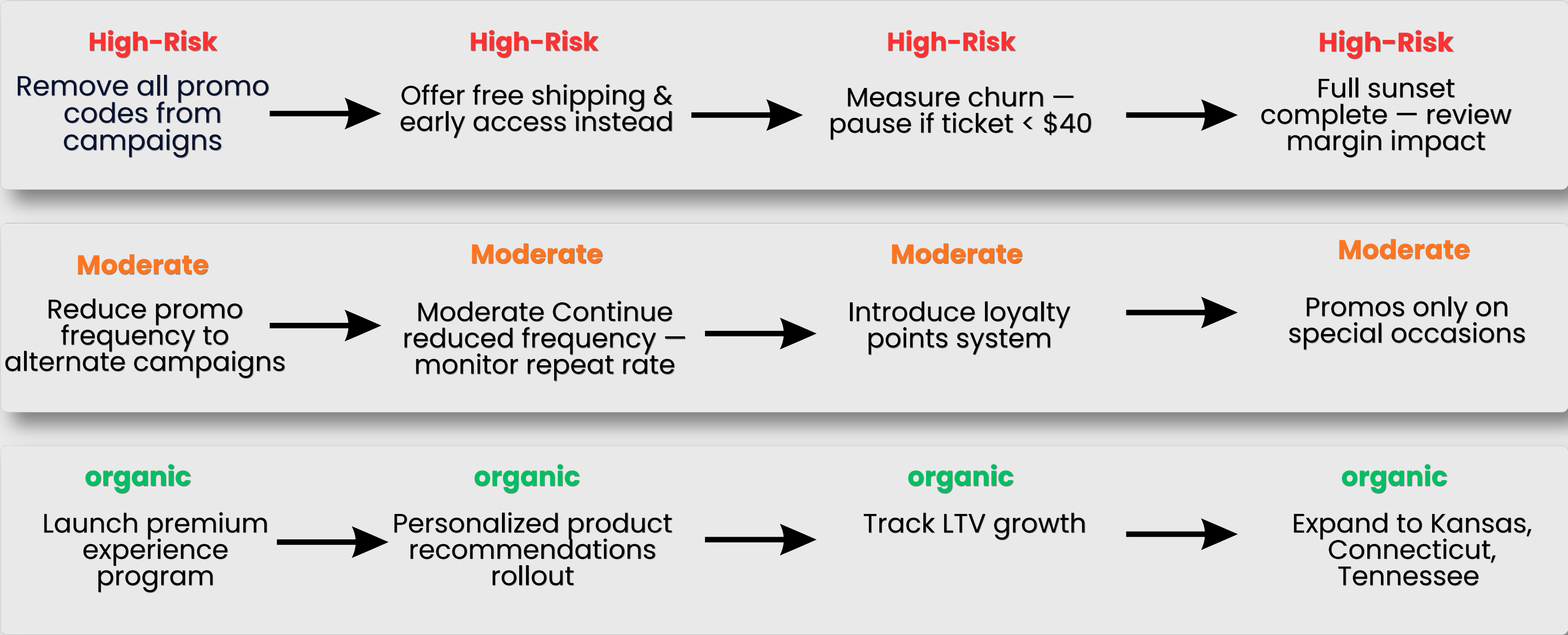
2,223 customers · dependency_score = **0** , **57.35%** revenue (**\$133,670**)

Trigger: Never uses discount codes — genuine brand affinity.

Metric: Avg LTV growth quarter on quarter | **Trade-off:** Offering unprompted discounts trains them to wait for deals — protect organic behavior at all costs.

Rollout Timeline

Month 1 → Month 2 → Month 3-4 → Month 5-6



Data-Backed Profile for Marketing Targeting

HOW MARKETING CAN USE THIS TODAY

Paid Ads Targeting

Target **Kansas, Connecticut & Tennessee**. Zero discount messaging lead with premium brand story, not price. Skip age-based targeting — age doesn't meaningfully differ between High-Value and base customers.

Lookalike Audiences

Upload the 563 validated High-Value + Organic customer list (Definition C) to Meta/Google Ads — this is the segment that tested highest on revenue correlation and satisfaction of any definition tried, not just the broader value tier.

Acquisition Messaging

This customer does NOT respond to SALE headlines. Lead with quality, craftsmanship, and brand identity.

Channel Strategy

No single payment method or shipping channel skews toward High-Value customers (all tested, none significant) — prioritize behavioral checkout triggers for repeat, non-promo buyers over channel-specific targeting.

HIGH-VALUE ORGANIC BUYER

Definition C: High-Value & Organic (Validated Hybrid)

Segment Size	563 (14.4% of base)
Promo Usage	Zero — never discounts
Avg LTV	\$3,196
Geography	Kansas / Connecticut / TN
Satisfaction	3.80 avg rating
Entry Category:	Clothing (345 orders)

THE PLAYBOOK IN ONE LINE

**Stop discounting the wrong
customers. Start investing in the
right ones.**

SQL DRIVEN RETENTION STRATEGY

233K
Total Revenue

3.9K
Total Customers

57.35%
Organic Revenue

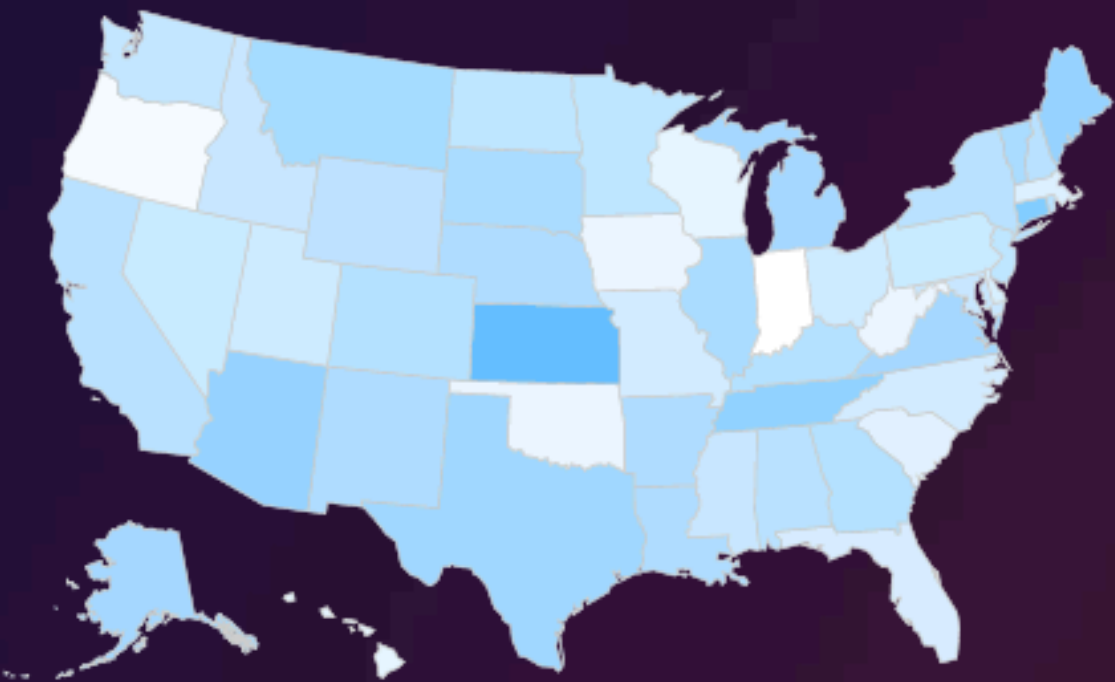
20K
At Risk Revenue

7.49
LTV Gap

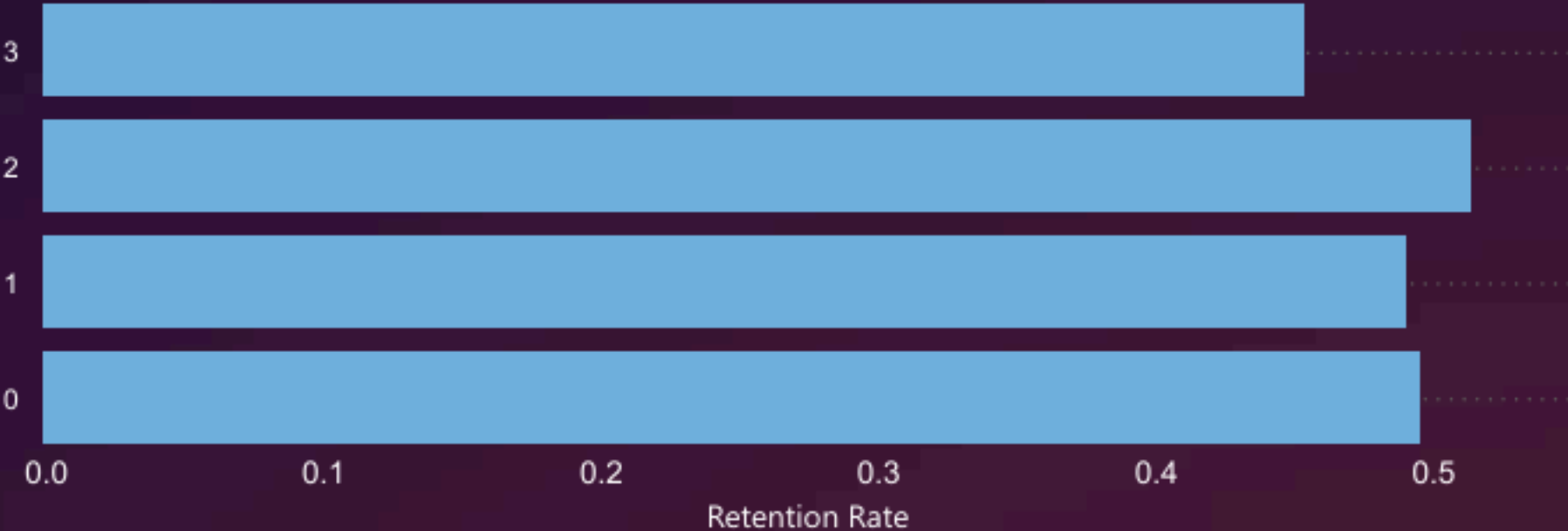
Customer share by value_tier



Geographic Opportunity



Promo Dependency vs. Retention Rate



Retention Rate by Category

